

ORDINANCE NO. _____

ENTITLED: "AMENDING ORDINANCE #4447, APPROVING AND ESTABLISHING REVISED WATER AND SEWER RATES, TAP AND SYSTEM DEVELOPMENT FEES, ADMINISTRATIVE FEES, SERVICE CHARGES AND PENALTIES, AND SEPTIC AND COMMERCIAL WASTE DUMP RATES, AS RECOMMENDED BY THE BOARD OF PUBLIC UTILITIES BY REPLACING BOARD OF PUBLIC UTILITIES RESOLUTION NO. 2022-03 IN SECTION 9."

BE IT ORDAINED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING:

Section 1. That, pursuant to WYO. STAT. §15-7-407, the Board of Public Utilities ("BOARD") shall fix the rates for water and sanitary sewer services furnished to customers, and any revision thereof is subject to the governing body's review, modification, and approval.

Section 2. That the BOARD is authorized by State Statute and City Code to fix rates, fees and penalties for water and sanitary sewer services furnished to customers to:

- (a) Pay interest charges and principal payments on all outstanding water and sanitary sewer loans and bonds as they are due;
- (b) Pay for the operation and maintenance of the water and sanitary sewer systems, including salaries, wages and benefits, and the cost of all materials and supplies necessary for repairs, replacements and upgrades to the systems;
- (c) Cover all miscellaneous expenses;
- (d) Cover all usual extensions and enlargements, together with a reasonable allowance for emergency and unforeseen expenses; and
- (e) Provide and maintain a depreciation fund for each of the water and sanitary sewer departments.

Section 3. That the Board has determined that an increase in the water and sanitary sewer rates are justified to ensure adequate revenue is generated in order to pay for costs associated with those services rendered.

Section 4. That, pursuant to City Code Section 13.04.140, rates, and charges for the consumption of city utility services, charges and fees for connections, inspections, penalties, shutoff penalties and meter installations shall be established by the BOARD, approved by the Governing Body and filed with the City Clerk and business office of the Board.

Section 5. That, pursuant to City Ordinances 4376, adopted on June 14, 2021, prior to the beginning of each fiscal year the BOARD will calculate new rates for water and sewer services based on the Bureau of Labor Statistics, Consumer Price Index, All Urban Consumers, Water and Sewer Maintenance and the Wyoming Cost Living Index – Southeast Region and prepare new rate schedules for Water and Sewer services.

Section 6. That the Bureau of Labor Statistics, Consumer Price Index, All Urban Consumers, Water and Sewer Maintenance for the calendar year 2021 was 4.2% and the Wyoming Cost of Living Index – Southeast Region for the second quarter of 2021 was 7.2%; and the Engineering News Record Construction Cost Index (ENR CCI) for calendar year 2021, was 8.9%.

Section 7. That the BOARD established by Resolution No. 2022-01, adopted April 25, 2022, revised Water rates to be charged to users of the Cheyenne Water System as shown and set forth on the resolution attached hereto as Exhibit A.

Section 8. That the BOARD established by Resolution No. 2022-02, adopted April 25, 2022, revised Sewer rates to be charged to users of the Cheyenne Sewer System as shown and set forth on the resolution attached hereto as Exhibit B.

Section 9. That the BOARD established by Resolution No. 2022-03, adopted April 25, 2022, revised Water and Sewer Connections Fees, System Development Fees, Pump Station Development Fees, and Related Fees set by the Board of Public Utilities as shown and set forth on the resolution attached hereto as Exhibit C.

Section 10. That the BOARD established by Resolution No. 2022-04, adopted April 25, 2022, revised Administrative fees, Service charges and Penalties set by the Board of Public Utilities as shown and set forth on the resolution attached hereto as Exhibit D.

Section 11. That the BOARD established by Resolution No. 2022-05, adopted April 25, 2022, revised Septic Waste Dump and Commercial Waste Rates to be charged to the user of the Cheyenne Water and Sewer Systems as shown and set forth on the resolution attached hereto as Exhibit E.

Section 12. That the Governing Body has reviewed the rates, charges and fees established by the BOARD for water and sewer services and hereby approves the water and sewer rate schedules attached hereto.

Section 13. That, prior to the beginning of each fiscal year, the BOARD will calculate new rates for Water and Sewer services based on the Bureau of Labor Statistics, Consumer Price Index, All Urban Consumers, Water and Sewer Maintenance, Wyoming Cost Living Index – Southeast Region and The Engineering News Record Construction Cost Index (ENR CCI) and prepare new rate schedules for Water and Sewer services that shall be presented, in the form of an ordinance, to the Governing Body.

Section 14. That this ordinance shall be in full force and effect upon its passage and publication.

FIRST READING: _____

SECOND READING: _____

THIRD AND FINAL READING: _____

PATRICK COLLINS, MAYOR

(SEAL)

ATTEST:

KRISTINA F. JONES, CITY CLERK

BOPU RESOLUTION NO. 2022 - 13

ENTITLED: "A RESOLUTION APPROVING REVISED WATER AND SEWER CONNECTION FEES, SYSTEM DEVELOPMENT FEES, PUMP STATION DEVELOPMENT FEES, AND RELATED FEES SET BY THE BOARD OF PUBLIC UTILITIES."

WHEREAS, the Board of Public Utilities ("BOARD") has exclusive authority to manage, operate, maintain and control the Cheyenne Municipal Waterworks, Sanitary Sewage System and Water Reclamation Facilities of the City and to make all rules and regulations necessary for the safe, economical and efficient operation and maintenance of the above facilities;

WHEREAS, the BOARD has determined that an increase in the fees is necessary to pay for costs associated with the new connectors' share of the water and sewer systems; water and sewer development; water and sewer debt service; over-sizing water and sewer mains; and for expansions to the water and sewer systems;

WHEREAS, the BOARD desires to set the fees to secure an income sufficient to:

- (a) Pay for costs associated with water and sewer installations;
- (b) Recover costs and reduce debt associated with water and sewer development and expansions to the City's water and sewer systems; and
- (c) Pay for costs associated with over-sizing water and sewer mains;

WHEREAS, the Governing Body of the City of Cheyenne, pursuant to Ordinance 4308, adopted June 8, 2020, requires that prior to the beginning of each fiscal year, the BOARD will calculate new rates for Water and Sewer services based on the "Bureau of Labor Statistics, Consumer Price Index, All Urban Consumers, Water and Sewer Maintenance" and the "Wyoming Cost of Living Index – Southeast Region," and prepare new rate schedules for Water and Sewer services that shall be presented in the form of an ordinance to the Governing Body;

WHEREAS, the Bureau of Labor Statistics, Consumer Price Index, All Urban Consumers, Water and Sewer Maintenance for the calendar year 2021 was 4.2% and the Wyoming Cost of Living Index – Southeast Region for the second quarter of 2021 was 7.2%;

WHEREAS, the 2020 Board of Public Utilities Water and Wastewater Rate Study recommends an adjustment of 5.0% for fiscal year 2023 to Connection Fees and simplified System Development Fees which includes a provision to adjust fees based upon changes to the "Engineering News Record Construction Cost Index" (ENR CCI) which, for calendar year 2021, was 8.9%; and

NOW, THEREFORE, BE IT RESOLVED that the Water and Sewer Connection Fees, Related Fees rate schedule will be adjusted approximately 5%, for Water and 5% for Sewer except as otherwise noted. The Water and Sewer System Development fees will be adjusted and simplified.

BE IT FURTHER RESOLVED that the following Schedule of Water and Sewer Connection Fees, System Development Fees, Pump Station Development Fees, and Related Fees is adopted by the BOARD and that it shall be presented in the form of an ordinance to the Governing Body of the City of Cheyenne for approval, and upon approval will become effective on the dates indicated below:

I. Water Connection Fee Based on the Connection Size—Connection Not Installed by BOPU:

Size	January 1, 2023	January 1, 2022
5/8" & 3/4"	\$ 308.70	\$ 294.00
1"	315.32	300.30
1 1/2"	327.44	311.85
2" and Larger	338.47	322.35

II. Water Connection Fee Based upon the following Meter Size – If Connection installed by BOPU:

Size	January 1, 2023	January 1, 2022
3"	\$ 3,495.00	\$ 3,328.50
4"	3,649.50	3,475.50
6"	4,256.00	4,053.00
8"	5,171.00	4,924.50
10"	6,858.00	6,531.00
12"	8,533.50	8,127.00

III. Water System Development Fee:

<u>Size</u>	<u>January 1, 2023</u>	<u>January 1, 2022</u>
5/8"	\$6,340.00	
3/4"	\$9,510.00	\$8,011.50 - \$9,103.50
1"	\$15,850.00	\$17,430.00 - \$21,000.00
1 1/2"	\$31,710.00	\$26,565.00 - \$41,884.50
2"	\$50,730.00	\$47,386.50 - \$67,042.50
3"	\$110,980.00	\$182,385.00
4"	\$190,260.00	\$314,454.00
6"	\$428,080.00	\$670,813.50

IV. Water System Development Fee – Large Commercial/Industrial User:

<u>Factor</u>	<u>Amount</u> <u>GPD</u>	<u>January 1, 2023</u> <u>Multiplier</u>	<u>January 1, 2022</u> <u>Multiplier</u>
Base Demand =		\$ 15.16*	\$14.44*
Maximum Day Demand =		5.95**	5.67**
Peak Hour Demand =		0.20***	.19***

*Per gallon per day average day demand

**Per gallon per day Maximum day demand (excess of Base Demand)

***Per gallon per day Maximum hour demand (excess of Maximum Day Demand)

V. Sewer Connection Fee:

Water Meter Size

<u>Size</u>	<u>January 1, 2023</u>	<u>January 1, 2022</u>
All Sizes	\$ 141.00	\$ 134.00

The above fee is charged for each connection to the sewer system.

VI. Sewer System Development Fee-Single Family Residential:

Water Meter Size

<u>Size</u>	<u>January 1, 2023</u>	<u>January 1, 2022</u>
5/8"	\$1,708.50	
3/4"	\$2,550.00	\$2,278.50 - \$2,667.00
1"	\$4,240.00	\$4,011.00 - \$4,788.00
1 1/2"	\$8,490.00	\$8,454.50 - \$9,565.50
2"	\$13,580.00	\$13,576.50 - \$15,319.50
3"	\$29,710.00	\$41,685.00
4"	\$50,930.00	\$71,883.00
6"	\$114,580.00	\$153,121.50

VII. Sewer System Development Fee-For Large Commercial/Industrial User:

<u>Factor</u>	<u>GPD or PPD</u>	<u>Amount</u> <u>Multiplier \$</u>	<u>January 1, 2022</u> <u>Multiplier</u>	<u>January 1, 2021</u> <u>Multiplier</u>
Wastewater Volume =			\$ 5.51*	\$ 5.25*
Biochemical Oxygen Demand =			\$ 1,169.00**	\$ 1,113.00**
Total Suspended Solids =			\$ 1,169.00**	\$ 1,113.00**

* Per gallon per day average day flow

** Per pounds per day average day demand

BE IT FURTHER RESOLVED that:

1. The applicant/contractor/developer shall comply with the following documents:
 - a. "Infrastructure Policy and Design Criteria" as amended from time to time, and
 - b. "City of Cheyenne & Board of Public Utilities Construction Specification Standard Drawings" as amended from time to time.
2. The applicant/contractor/developer shall submit a Utility Layout Plan identifying the water and / or sanitary sewer connection(s), service line size(s), curb stop and meter pit locations from the BOPU main line to the property. The Utility Layout Plan shall clearly show the property location (lot, block, subdivision), street names and addresses if available.
3. After approval of the Utility Layout Plan, the applicant/developer/contractor shall complete the connection permit application and pay all fees due prior to the issuance of a tap/connection permit ("PERMIT"), except for system development fees, which may be paid at either the time of issuance of a PERMIT or prior to the issuance of a building permit. The fees due shall be the amount of the fee in effect at the time payment is received.

4. Under no circumstance will the City of Cheyenne be allowed to issue a building permit prior to the payment of all fees due the BOARD, including system development fees. The applicant for a city building permit will be required to furnish proof to the City that all required fees have been paid to the BOARD, including the system development fees.
5. The applicant for the PERMIT shall remain liable to the BOARD for payment of all system development fees, without regard to subsequent assumption of payment responsibility by another party.
6. In no event shall water service be provided to the property before all fees, including system development fees, are paid in full.
7. If no building permit is required, then the applicant/contractor/developer shall pay all fees, including system development fees, before the issuance of a PERMIT.
8. **For All Connections to the BOPU Water and Sewer Systems, the applicant / contractor / developer shall be responsible for:**
 - a. Obtaining all necessary City Right of Way Permit(s), proper street cuts, excavation, trench boxes, OSHA approved safety setups, backfill, base course, compaction plus asphalt and concrete replacement and other construction costs. (Note: BOARD employees will not access areas that do not fully comply with OSHA approved safety standards. If complications arise during the tapping process and BOARD personnel are required to assist or re-inspect, the applicant will be billed for the additional expenses incurred.)
 - b. If required, the installation of wiring for a remote readout meter.
 - c. Notifying the BOARD prior to any type of irrigation. (The water tap fee does not include water for irrigation of lawns and or landscaping.)
 - d. Paying for any and all irrigation water.
 - e. Paying a penalty as described in the Schedule of Related Fees for failure to comply with any of the requirements contained in this Resolution.
9. **For Water Meter Size Connections 5/8" 3/4", 1", 1½" and 2", the applicant / contractor / developer shall be responsible for:**
 - a. Providing all materials, labor and equipment necessary for the installation of the tap. Materials include, but are not limited to, the corporation, tapping saddle and if required the insulator coupling.
 - b. The proper installation of all material. These items must be installed at the address and location and in the manner specified on the Utility Layout Plan and permit. If the corporation and coupling are not properly installed or not in accordance with permit designation, then the applicant will be responsible for immediate removal and/or repair. (See most recent approved edition of City of Cheyenne & Board of Public Utilities Construction Specifications and Standard Drawings.)
10. **For Water Meter Size Connections 1½" and larger, the applicant / contractor / developer shall be responsible for:**
 - a. The installation of a manhole meter pit and/or vault, with ring and lid, pursuant to BOARD specifications.
 - b. All excavation and back filling.
11. **Water and Sewer Connection Fees:**
 - a. The water meter size connection fee for 5/8 inch, ¾ inch, 1 inch, 1½ inch, and 2-inch water connections include administrative fees (inspection fee, account fee, construction water fee and installation of the meter reading wireless interface).
 - b. The water meter size connection fee for water connections larger than 2 inch include the cost of material (tapping sleeve, tapping saddle, tapping valve, corporation stop, insulator coupling, valve box, valve box extension and adapter, one cubic yard concrete thrust block), labor and equipment to install the material, and the administrative fees (inspection fee, account fee, construction water fee and installation of the meter reading wireless interface).
 - c. The sewer connection fee includes the engineering fee for inspection and the sewer account fee.
12. **System Development Fees:**
 - a. Water connections for fire lines and main line extensions are exempt from system development fees.
 - b. Connections to the wastewater effluent system and/or the recycle water system are assessed system development fees based upon the water system development fee

schedules.

BE IT FURTHER RESOLVED that all water and sewer connections and service connections within the boundaries of Warren Air Force Base will be charged the established in-city rates.

BE IT FURTHER RESOLVED that all taps and service connections outside the City limits will be charged 1.5 times for all the above fees, charges, and penalties.

BE IT FURTHER RESOLVED that the BOARD is authorized to negotiate contracts with water and sewer system users, based upon the above rates for water and sewer connections, system development fees, pump station development fees, and other related fees and that any revision of the above rates shall be subject to Governing Body review, modification and approval.

BE IT FURTHER RESOLVED that the foregoing fees, charges and penalties established by the BOARD be submitted to the City Council for approval and filing as provided by the Code of the City of Cheyenne.

ADOPTED THIS 25th DAY OF April, 2022.

BY Mary B. Gutthrie
Mary Gutthrie, President

(SEAL)

Attest;

BY 
Matthew Pope, Secretary